

We work in teams to regularly incorporate fresh information and new perspectives into our analysis and calmly debate our decisions. We also work to ensure that we are not limited by institutional constraints. We search for opportunity by surveying, analyzing, and tracking the securities and assets we believe are most likely to be inefficiently priced. Those are often found in the gaps between traditional investment silos and include newly distressed or downgraded debt instruments; companies undergoing rapid corporate change such as mergers, major asset sales, and spin-offs; and situations involving great uncertainty, such as those subject to major litigation. We regularly pull at the threads of one interesting situation to find others; we look for patterns based on past investment successes. We rummage through the list of “new lows,” knowing that out-of-favor securities can be an attractive source of bargains. We search expansively for potential opportunity and then dig deeply to verify that each situation is truly undervalued. Even after we buy, we keep digging.

THE ART OF BUSINESS VALUATION

While value investing is about buying into businesses at discounts to their fair value, doing so is by no means a paint-by-numbers exercise. It is not simply the practice of buying securities trading at the lowest multiples of recent earnings, cash flows, or book value. After all, sometimes a stock sports a low valuation multiple for good reason: troubling trends, competitive challenges, a broken business model, hidden liabilities, protracted and potentially crippling litigation, or incompetent or corrupt management. Investors must consider every potential investment with skepticism and humility, relentlessly hunting for additional information while realizing that they will never know everything about a company.

So how exactly do we ascertain value in order to recognize if a bargain is available? There are a number of useful methodologies,